Credit balance is the amount due to the partner from the firm. It is shown on the liabilities side of the balance sheet. Debit balance is the amount due from the partner to the firm. It is shown on the assets side of the balance sheet.

Illustration 2

From the following information, prepare capital accounts of partners Shanthi and Sumathi, when their capitals are fixed.

Particulars	Shanthi ₹	Sumathi ₹
Capital on 1st January 2018	1,00,000	80,000
Current account on 1st January 2018 (Cr.)	5,000	3,000
Additional capital introduced on 1st June 2018	10,000	20,000
Drawings during 2018	20,000	13,000
Interest on drawings	500	300
Share of profit for 2018	10,000	8,000
Interest on capital	6,300	5,400
Salary	9,000	Nil
Commission	Nil	1,200

Solution

Dr. **Partners' Capital Account** **Cr.**

Date	Particulars	Shanthi ₹	Sumathi ₹	Date	Particulars	Shanthi ₹	Sumathi ₹
2018				2018			
				Jan 1	By Balance b/d	1,00,000	80,000
Dec 31	To Balance c/d	**1,10,000**	**1,00,000**	June 1	By Bank (Additional capital)	10,000	20,000
		1,10,000	1,00,000			1,10,000	1,00,000
				2019			
				Jan 1	By Balance b/d	1,10,000	1,00,000

Dr. **Partners' Current Account** **Cr.**

Date	Particulars	Shanthi ₹	Sumathi ₹	Date	Particulars	Shanthi ₹	Sumathi ₹
	To Drawings	20,000	13,000		By Balance b/d	5,000	3,000
	To Interest on drawings	500	300		By Profit and loss appropriation A/c (share of profit)	10,000	8,000
	To Balance c/d	**9,800**	**4,300**		By Interest on capital	6,300	5,400
					By Salary	9,000	-
					By Commission	-	1,200
		30,300	17,600			30,300	17,600
					By Balance b/d	9,800	4,300

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